IPO ANALYSIS REPORT · DRHP

Jagatjit Agri Engineering Limited

Mainboard · Agricultural implements manufacturing · filed 2026-10-01 · lead manager(s): Keynote Financial Services · issue size Rs 300 cr · price band: Not announced · analysed 2026-10-14

CALL

Screen only

CHECKS

1 fail · 9 watch · 4 pass · 2 open

Proforma revenue grew 63% and PAT 52% in FY26 with cash tax paid, but operating cash flow was 8.6% of PAT, the audited history is a pre-acquisition shell until FY26, and the Rs 3,000 m raise funds working capital and an 8x expansion of one plant.

Revenue FY26 **₹414 cr** CAGR FY24-FY26: **191.1%**	PAT FY26 **₹31 cr** CAGR FY24-FY26: **254.2%**	EBITDA margin **13.5%** FY24: **41.3%**	Cash conversion (CFO / PAT, 3 yrs) **69.7%**
Cash tax rate (3 yrs) **26.1%**	P/E at reference (post-issue) **37.6x** peer median: **30.5x**	Blended value (Neutral) **₹64.08** vs reference: **-59.6%**	Reference price **₹158.47** Rs 158.47 = 28.10x (arithmetic average P/E of the issuer's three listed peers, p. 155) x FY26 basic EPS Rs 5.64 (p. 154). A mechanical reference built from the issuer's own peer table, not a price band; the only primary issue (Oct-2025, for the acquired businesses) was at a bonus- and split-adjusted Rs 35.15 and is not a market price (pp. 163-164).

Where to focus

× Fail **Cash flow vs profit** p. 88

FY26 operating cash flow Rs 26.85 m against PAT Rs 313.90 m (8.6%); cash generated from operations Rs 131.36 m before Rs 104.52 m of tax. Inventory build Rs 445.46 m and other assets Rs 281.35 m absorbed the operating profit. Cumulative reported CFO/PAT FY24-FY26 is 69.7% but mixes standalone and consolidated bases; proforma cash flows are not given.

! Watch **Related-party capex & subsidiaries** pp. 94-95, 129

Promoter-linked dealings: FY25 sales to Saron Mechanical Works II (Jagatjit Singh) Rs 209.15 m = 21.9% of standalone revenue and purchases Rs 419.46 m = 57.0% of cost of materials; businesses acquired 01-Apr-2025 for shares issued for non-cash consideration. Rs 55.0 m advances to promoters outstanding at 31-Mar-2026. Expansion capex (Rs 716.64 m) is on land leased from Jagatjit Singh (Rs 0.08 m a month, +15% every three years, p. 129).

! Watch **Objects arithmetic as price floor** pp. 124-125

Fresh issue is amount-based (Rs 3,000 m gross, up to Rs 600 m of it may be raised pre-IPO), so no fixed share-count floor. Identified objects are Rs 2,001.64 m (66.7% of gross); the balance of Rs 998.36 m is offer expenses plus general corporate purposes, which are capped at 25% of gross (Rs 750 m).

! Watch **Goodwill vs tangible equity** pp. 85, 91

Goodwill Rs 4.55 m at 31-Mar-2026 against Rs 709.29 m equity (0.6%). Proforma balance sheet shows goodwill of Rs 65.66 m at 31-Mar-2025 and a capital reserve of Rs 32.98 m at 31-Mar-2024; the reconciliation of the purchase accounting between the proforma and the actual consolidation was not located in the sections read.

! Watch **Customer / supplier / geographic concentration** pp. 33-36, 56, 261

Demand side: top customer Seth Agro Industries 25.21% and top 10 customers 50.04% of FY26 revenue (all dealers; no long-term agreements). Supply side is not concentrated in FY26: top supplier 7.94% and top 10 suppliers 40.53% of raw-material purchases (76.68% and 96.69% in the standalone FY25 and FY24). Punjab 25.79% and Haryana 18.48% of FY26 revenue.

! Watch **Auditor qualifications / changes** pp. 52, 98

Auditor Rule 11(g) observation in all three years: accounting software had no database-level audit trail up to 31-Dec-2025 (enabled Jan-2026). Auditor history: Singla Gupta & Co resigned 23-Apr-2024 (pre-occupation), Kansal Sandeep & Associates for FY24 only, Anup Kumar Jain & Co from 30-Sep-2024; FY24-FY25 figures are from special-purpose Ind AS statements.

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Forensic scorecard

Ten forensic checks and seven regulatory checks.

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	22:1 bonus (allotted after 30-Apr-2026 record date) and 2-for-1 split are applied retrospectively: FY26 basic EPS Rs 5.64 = Rs 313.90 m / 55,650,984 shares; NAV Rs 12.75 = Rs 709.29 m / 55,650,984. Counts are consistent across EPS, NAV and the peer table.	pp. 154-156
2	Cash flow vs profit	✕ Fail	FY26 operating cash flow Rs 26.85 m against PAT Rs 313.90 m (8.6%); cash generated from operations Rs 131.36 m before Rs 104.52 m of tax. Inventory build Rs 445.46 m and other assets Rs 281.35 m absorbed the operating profit. Cumulative reported CFO/PAT FY24-FY26 is 69.7% but mixes standalone and consolidated bases; proforma cash flows are not given.	p. 88
3	Current vs deferred tax	✔ Pass	FY26 current tax Rs 130.30 m on PBT Rs 444.12 m (29.3%); deferred tax is a small credit (Rs 0.09 m). Cash tax paid Rs 104.52 m (23.5% of PBT). Profit is taxed largely in cash.	p. 87
4	Related-party capex & subsidiaries	! Watch	Promoter-linked dealings: FY25 sales to Saron Mechanical Works II (Jagatjit Singh) Rs 209.15 m = 21.9% of standalone revenue and purchases Rs 419.46 m = 57.0% of cost of materials; businesses acquired 01-Apr-2025 for shares issued for non-cash consideration. Rs 55.0 m advances to promoters outstanding at 31-Mar-2026. Expansion capex (Rs 716.64 m) is on land leased from Jagatjit Singh (Rs 0.08 m a month, +15% every three years, p. 129).	pp. 94-95, 129
5	Objects arithmetic as price floor	! Watch	Fresh issue is amount-based (Rs 3,000 m gross, up to Rs 600 m of it may be raised pre-IPO), so no fixed share-count floor. Identified objects are Rs 2,001.64 m (66.7% of gross); the balance of Rs 998.36 m is offer expenses plus general corporate purposes, which are capped at 25% of gross (Rs 750 m).	pp. 124-125
6	Revaluation reserve	✔ Pass	No revaluation reserve shown in the restated balance sheets.	p. 85
7	Goodwill vs tangible equity	! Watch	Goodwill Rs 4.55 m at 31-Mar-2026 against Rs 709.29 m equity (0.6%). Proforma balance sheet shows goodwill of Rs 65.66 m at 31-Mar-2025 and a capital reserve of Rs 32.98 m at 31-Mar-2024; the reconciliation of the purchase accounting between the proforma and the actual consolidation was not located in the sections read.	pp. 85, 91
8	Customer / supplier / geographic concentration	! Watch	Demand side: top customer Seth Agro Industries 25.21% and top 10 customers 50.04% of FY26 revenue (all dealers; no long-term agreements). Supply side is not concentrated in FY26: top supplier 7.94% and top 10 suppliers 40.53% of raw-material purchases (76.68% and 96.69% in the standalone FY25 and FY24). Punjab 25.79% and Haryana 18.48% of FY26 revenue.	pp. 33-36, 56, 261
9	Contingent liabilities	✔ Pass	Contingent liabilities Rs 71.70 m (GST Rs 22.67 m, bank guarantees Rs 42.35 m, other Rs 6.50 m, income tax Rs 0.18 m) = 10.1% of equity of Rs 709.29 m.	p. 93

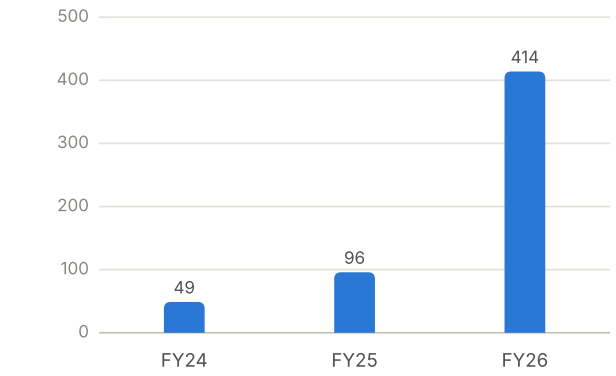
#	CHECK	RESULT	FINDING	PAGE
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! Watch	Auditor Rule 11(g) observation in all three years: accounting software had no database-level audit trail up to 31-Dec-2025 (enabled Jan-2026). Auditor history: Singla Gupta & Co resigned 23-Apr-2024 (pre-occupation), Kansal Sandeep & Associates for FY24 only, Anup Kumar Jain & Co from 30-Sep-2024; FY24-FY25 figures are from special-purpose Ind AS statements.	pp. 52, 98
R2	CARO / audit trail	! Watch	Jagatjit Singh and Dharam Singh were disqualified as directors 29-Sep-2020 to 31-Oct-2021 (Jagatjit Agro struck off); compounding application under s.441 filed; no penalty imposed to date.	p. 36
R3	Monitoring agency	○ Open		
R4	Eligibility re-computation	○ Open		
R5	SME conditions	! Watch	Mainboard issue under Regulation 6(2), not 6(1): the company does not meet Regulation 6(1)(a) and 6(1)(c) (see Eligibility, p. 503 of the DRHP).	cover
R6	Lead-manager track record	! Watch	Sole BRLM Keynote Financial Services: 2 issues in FY27 to date (Rs 5,858 m), both below issue price at day 30; the DRHP delegates the full track record to the BRLM website (SEBI circular CIR/MIRSD/1/2012).	p. 511
R7	Firm means of finance	! Watch	Capex Rs 716.64 m rests on a detailed project report by L & C Techfin Advisory dated 23-Sep-2026 and is not bank-appraised; no capex has been incurred yet and deployment is FY2028.	pp. 130-131 (PDF 136-137)

Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

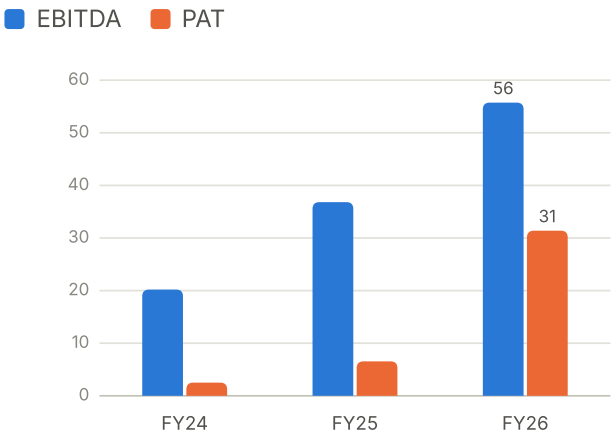
Revenue from operations

Rs crore



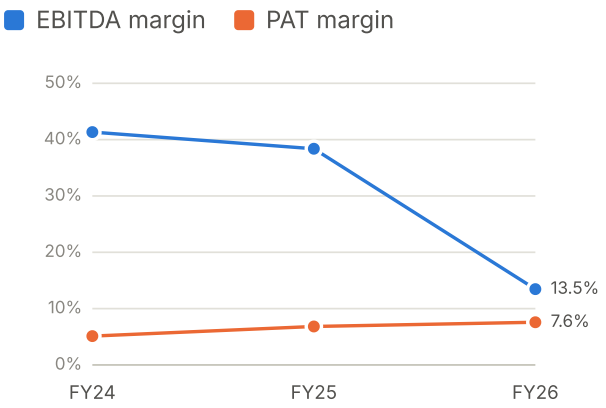
EBITDA and PAT

Rs crore



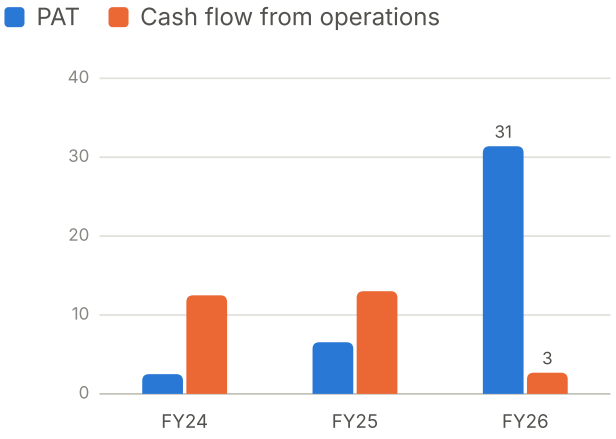
Margins

% of revenue



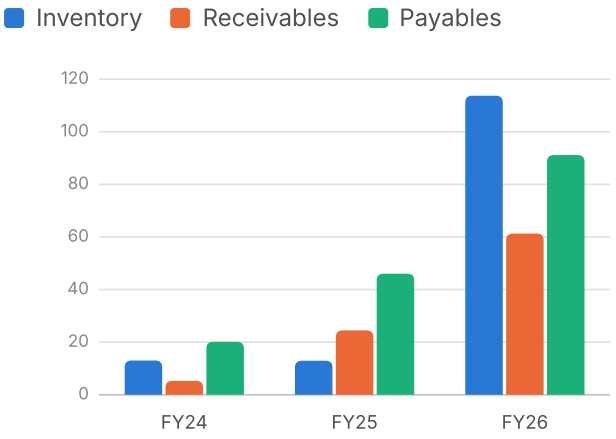
Cash conversion: PAT vs operating cash flow

Rs crore. Profit that does not become cash shows as the gap.



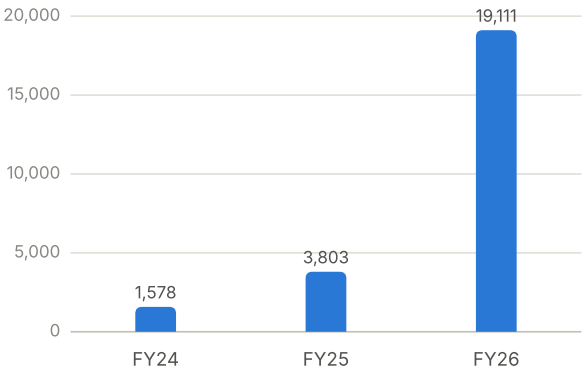
Working capital build-up

Rs crore, year end



Volume

units sold (restated; FY24-FY25 pre-acquisition)

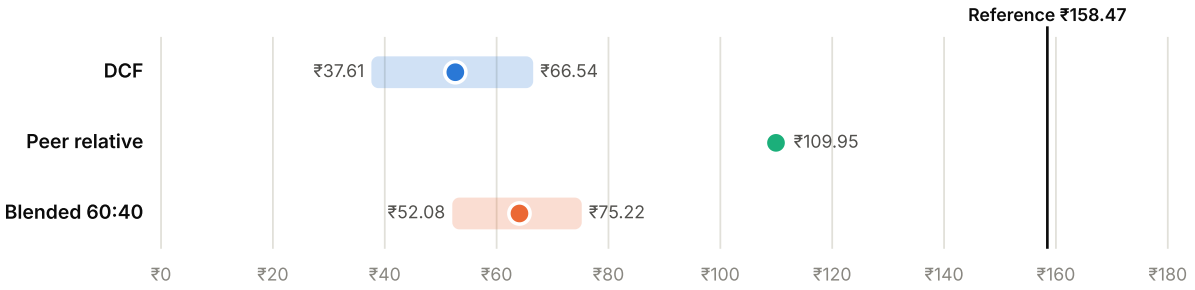


Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Rs 158.47 = 28.10x (arithmetic average P/E of the issuer's three listed peers, p. 155) x FY26 basic EPS Rs 5.64 (p. 154). A mechanical reference built from the issuer's own peer table, not a price band; the only primary issue (Oct-2025, for the acquired businesses) was at a bonus- and split-adjusted Rs 35.15 and is not a market price (pp. 163-164).

Valuation range per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical line is the reference price.



Scenario summary

RS/SHARE	DCF	RELATIVE	BLENDED	VS REFERENCE
Bear	₹37.61	₹109.95	**₹52.08**	-67.1%
Neutral	₹52.62	₹109.95	**₹64.08**	-59.6%
Bull	₹66.54	₹109.95	**₹75.22**	-52.5%

WACC	**16.9%**
Terminal value share of EV	**87.4%**

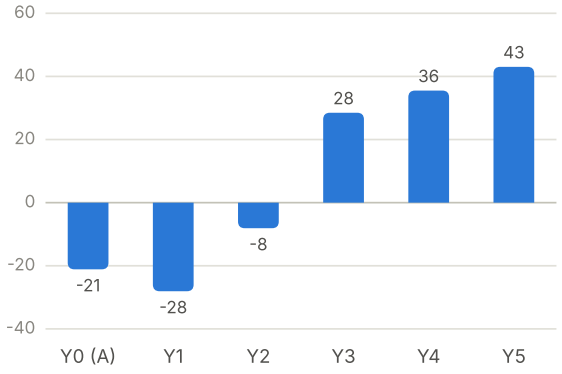
Reverse DCF: what the reference price needs

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	16.9%
required EBIT margin (steady state)	51.0%	12.3%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	20.3%

Current free cash flow is negative: no multiple can be stated, and the entire price rests on a turn that has not yet begun.

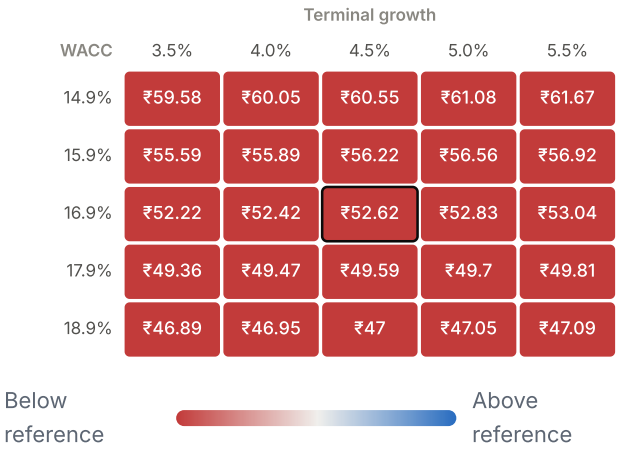
DCF projection (Neutral): free cash flow to firm

Rs crore; Y0 is the latest audited year



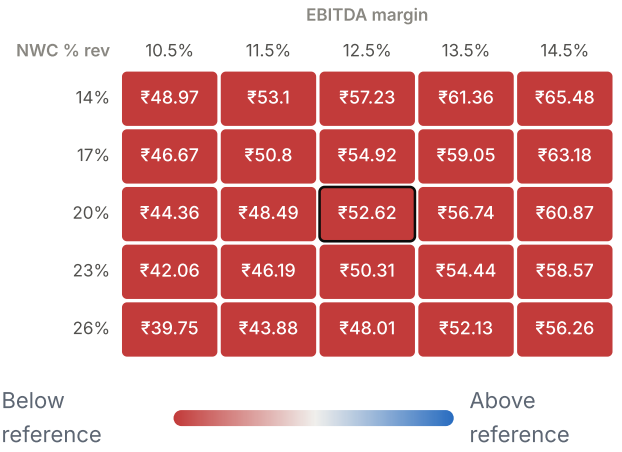
Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.



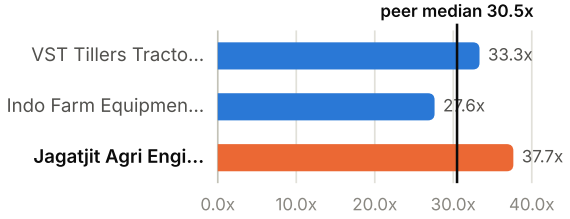
Sensitivity: working capital vs EBITDA margin

Value per share (Rs). The lever that moves value most deserves the most diligence.



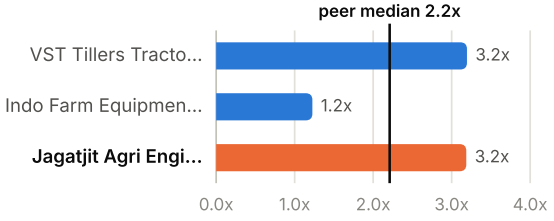
Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



Peer P/B

Issuer on post-issue net worth

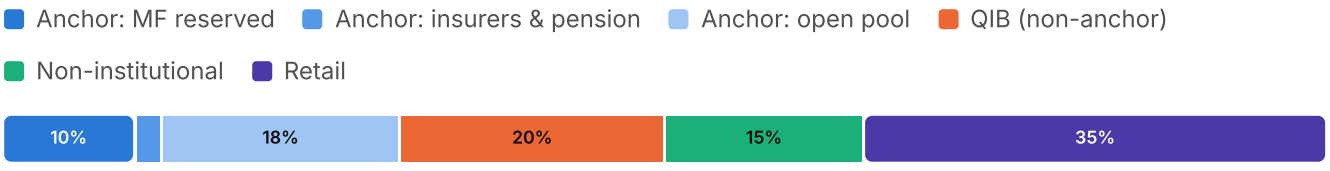


Offer structure and supply

How the issue is split, where an AIF can bid as anchor, and shares that unlock after listing.

Issue split by investor category (Rs 300 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Promoter holding above the 20% minimum contribution (pre-offer total 556.33 lakh shares incl. 31.00 lakh offered for sale; split to be fixed in RHP)	556.33	180

Anchor tranches (30 / 90 days) and promoter lock-ins are dated once the RHP fixes the allotment date.

Merchant bankers

Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

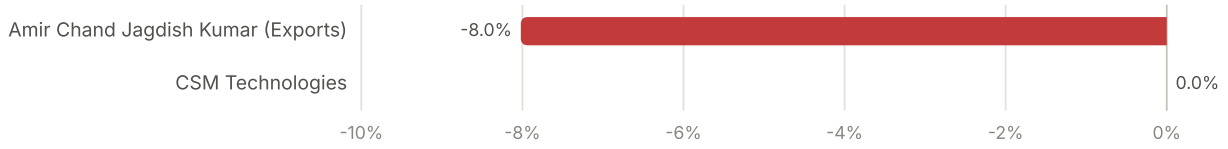
Keynote Financial Services Limited

Listed: Not sourced in this run
Owner: Not sourced in this run (offer document does not state it)

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	2	586
FY2025-26	0	–
FY2024-25	0	–

Listing-day open vs issue price

Recent issues handled by this offer's lead managers



Issuers' revenue growth, FY24 → FY26

Secondary-source financials, unverified (see note)

SWOT

Each point carries its figure and page reference in the note.

STRENGTHS

- Proforma revenue Rs 2,074.48 m to Rs 2,537.60 m to Rs 4,139.70 m, FY24-FY26 (pp. 87, 92)
- ROCE 31.10% and interest cover 5.03x in FY26 (p. 158)
- Current tax 29.3% of FY26 PBT, so profit is taxed in cash (p. 87)
- Top 10 suppliers only 40.53% of FY26 purchases (p. 33)
- Utilisation at Dehlon 89.68% and Cheema 73.62% in FY26 (p. 267)

WEAKNESSES

- FY26 CFO Rs 26.85 m vs PAT Rs 313.90 m (p. 88)
- Top customer 25.21%, top 10 customers 50.04% of FY26 revenue (p. 36)
- Debt/equity 1.89x; borrowings Rs 1,344.07 m (p. 158)
- FY24-FY25 audited history is the pre-acquisition company (p. 19)
- Promoters have limited formal education and no listed-company board experience (p. 48)

OPPORTUNITIES

- Domestic farm-equipment market projected at 7.7% CAGR FY26-FY30, issuer-commissioned CARE report (p. 129)
- Organised makers hold about 60% of implements and are expected to gain share (p. 221)
- Dehlon capacity from 4,000 to 33,000 units (p. 137)
- 20 states served vs 10 in FY24 (p. 158)

THREATS

- Subsidy schemes (60% Central, 40% State) can be reduced or withdrawn (p. 56)
- Punjab 25.79% and Haryana 18.48% of FY26 revenue: monsoon and policy concentration (p. 56)
- Rs 945.02 m of Rs 1,150 m working-capital limits drawn at 31-Aug-2026 (p. 42)
- Related-party and promoter-lease dependencies (pp. 94-95, 129)

Due-diligence note

Jagatjit Agri Engineering Limited: DRHP screen

> **Basis.** Draft Red Herring Prospectus dated 25-Sep-2026, filed with SEBI on 01-Oct-2026. Restated financials run to 31-Mar-2026 and are **197 days old** at the date of this note. **No price band has been announced.** Figures are from the DRHP (printed page numbers; PDF page minus 6) in ₹ million unless stated.
>
> **Comparability warning.** FY26 is *consolidated* and includes the businesses of Saron Mechanical Works I and II (both promoter proprietorships) acquired with effect from 01-Apr-2025. FY25 and FY24 restated figures are *standalone* of the much smaller pre-acquisition company, from special-purpose Ind AS statements. Growth in this note is therefore measured on the issuer's unaudited **proforma** FY24 and FY25 (pp. 91-92) against restated FY26, and says so each time.
>
> Upside is measured against **₹158.47**, which is 28.10x (the average P/E of the issuer's three listed peers, p. 155) times FY26 basic EPS of ₹5.64 (p. 154). It is a mechanical reference, not a price band. Exit route assumed: 2-3 year hold.
>
> A DRHP is a screen, not a decision. The RHP must carry financials no more than six months old, so it should include H1 FY27. No capital should be committed until the RHP is read.

Verdict: Screen only. The evidence is mixed.

Strengths: fast growth with profit taxed in cash.

- Proforma revenue rose from ₹2,074.48 m (FY24) to ₹2,537.60 m (FY25) and ₹4,139.70 m (FY26), +22.3% and +63.1%. Proforma PAT rose from ₹80.82 m to ₹206.95 m and ₹313.90 m (p. 87, 92).
- Current tax was ₹130.30 m on PBT of ₹444.12 m (29.3%), and ₹104.52 m of direct tax was paid in FY26 (pp. 87-88).
- ROCE 31.10% and interest cover 5.03x in FY26 on the issuer's definitions (p. 158).
- The top 10 suppliers were 40.53% of FY26 raw-material purchases (p. 33).

Concerns: cash conversion, concentration and an untested audited record.

- FY26 operating cash flow was ₹26.85 m against PAT of ₹313.90 m (8.6%). Inventory rose ₹445.46 m and other assets ₹281.35 m (p. 88).
- Top customer Seth Agro Industries was 25.21% and the top 10 customers 50.04% of FY26 revenue, all dealers, with no long-term agreements (p. 36).
- Borrowings are ₹1,344.07 m (debt/equity 1.89x), of which ₹1,340.89 m is covered by promoter personal guarantees (pp. 40, 158).
- Only FY26 is audited on the enlarged business. The earlier two years are the pre-acquisition company.

On earnings (peer P/E) the reference price is by construction in line with listed peers. On cash (DCF) the model gives values below the reference in all three scenarios, because working capital absorbs about ₹0.20 of every

incremental rupee of revenue and the plan adds a large plant. **H1 FY27 operating cash flow, the price band and the top-customer share in the RHP will show which reading holds.**

Snapshot

	FY24 proforma	FY25 proforma	FY26 restated
Revenue from operations	2,074.48	2,537.60	4,139.70
Gross margin	23.58%	37.19%	39.06%
EBITDA (issuer KPI)	201.97	368.18	557.38
EBITDA margin	9.74%	14.51%	13.46%
PAT	80.82	206.95	313.90
Return on equity (issuer, average equity)	59.50%	60.26%	53.89%
Cash flow from operations (as reported)	124.93*	130.15*	26.85
Inventory (year end)	600.55	690.80	1,137.11
Trade receivables (year end)	428.70	421.72	612.95
Borrowings incl. leases	646.54	845.24	1,344.07
Units sold	8,895	12,234	19,111

*Standalone pre-acquisition company; no proforma cash flow is given. Sources: pp. 85-92, 158.

Business model

- **What it sells:** tractor-operated and tractor-mounted agricultural implements for "end-to-end crop solutions", 20 products and 192 SKUs in FY26. The top five by revenue are Super Seeder, Laser Land Leveller, Rotavator, Straw Reaper and a fifth machine (pp. 261, 267).
- **Who buys it:** farmers through a dealer and distributor network. Revenue is 98.61% domestic, in 20 states (10 in FY24). Punjab is 25.79% and Haryana 18.48% of FY26 revenue (pp. 56, 158).
- **How it earns:** manufacturing margin on fabricated steel products. Raw-material cost is 61.22% of FY26 revenue (p. 42). Gross margin was 39.06% and EBITDA margin 13.46%. Part of the sales price is subject to Central and State mechanisation subsidies (60:40), which are either paid to the farmer or credited to the company and passed on (p. 56).
- **What it owns vs outsources:** two plants, Cheema (Sangrur, 19,875 units installed) and Dehlon (Ludhiana, 4,000 units installed), covering cutting, bending, fabrication, machining, painting and assembly. Steel plates, sheets, pipes, gearboxes, hydraulics, tyres and electricals are bought in with no long-term supply contracts (pp. 33, 267). The Dehlon land (16.20 acres) is leased from promoter Jagatjit Singh at ₹0.08 m a month, rising 15% every three years (p. 129).
- **Subsidiary:** Jagatjit Energies Private Limited, bought from promoters in FY26 for ₹0.075 m and ₹0.025 m (p. 94).

Industry analysis

Source: CARE Analytics and Advisory, "Industry Research Report on Agri Equipment Sector" dated 23-Sep-2026, **exclusively commissioned and paid for by the issuer** for this offer (p. 3). Treat its market claims accordingly.

- **Growth:** the domestic farm-equipment market is projected to grow at a 7.7% CAGR over FY26-FY30 (p. 129).
- **Structure:** moderately fragmented. Organised manufacturers are put at about 60% of the implements market in FY26, with 40% held by unorganised and regional fabricators; the organised share is expected to rise (p. 221).
- **Peers named in the DRHP:** VST Tillers Tractors, Indo Farm Equipment and Escorts Kubota. The DRHP states that none has a comparable product portfolio or business model (p. 156).
- **Unnamed competitors:** regional implement makers and local fabricators; tractor makers' own implement ranges.
- **Cyclicality and regulation:** demand follows monsoon, crop prices, farm incomes and state subsidy budgets (CRM and SMAM schemes), which are set state by state (p. 56).

Moat

Source	Evidence	Durability
Scale and integrated plants	Installed capacity 23,875 units; FY26 production 18,219 units, i.e. 76% utilisation (p. 267)	Moderate. Steel fabrication is not capital-intensive; others can replicate
Brand and dealer reach	Presence in 20 states; DRHP claims leading share in its top three products in Northern and Central states (p. 154)	Unverified. The share claim rests on the issuer-commissioned report
Switching costs	None disclosed; customers are dealers without long-term agreements (p. 36)	Weak
Cost advantage	Gross margin 39.06% against 31.59% (VST) and 40.14% (Indo Farm) (p. 161)	Not shown to be structural; the issuer's own margin was 23.58% in proforma FY24

The DRHP evidences breadth of range and speed of growth. It does not evidence a barrier that would stop a competitor matching the product.

Revenue and profit growth drivers

- **Revenue:** units sold rose from 8,895 (FY24 proforma) to 12,234 (FY25 proforma) and 19,111 (FY26), +37.5% and +56.2%. Revenue per unit was ₹233.2 thousand, ₹207.4 thousand and ₹216.6 thousand, so growth was volume-led rather than price-led (p. 158). Part of FY26 is the first year of consolidating the acquired businesses, and the subsidiary is not in the proforma.
- **Gross margin:** 23.58%, 37.19%, 39.06%. The 13.6-point jump in FY25 proforma is the largest single driver of profit and is not explained in the sections read.
- **Margin bridge, FY25 proforma to FY26 (pts of revenue):** gross margin +1.87; employee cost 10.22% to 6.66% (+3.56); other expenses 12.46% to 18.94% (-6.48); EBITDA margin 14.51% to 13.46% (-1.05).

Employee cost rose only 6.3% (₹259.35 m to ₹275.61 m) while revenue rose 63.1%, and other expenses rose 148% (₹316.17 m to ₹784.09 m). The split inside other expenses is not given in the pages read.

- **One-offs:** other income ₹35.03 m is 7.9% of FY26 PBT; expected credit loss provision of ₹34.90 m was charged (p. 88).
- **Operating leverage:** employee cost as a share of revenue fell, but the other-expense rise offset most of it.

SWOT

	Item
Strengths	Proforma revenue +63.1% and PAT +51.7% in FY26 (pp. 87, 92). ROCE 31.10% (p. 158). Current tax 29.3% of PBT (p. 87). Top 10 suppliers 40.53% of purchases (p. 33). Dehlon utilisation 89.68% (p. 267)
Weaknesses	CFO ₹26.85 m vs PAT ₹313.90 m (p. 88). Top 10 customers 50.04% (p. 36). Debt/equity 1.89x (p. 158). Audited history on the enlarged business is one year (p. 19). Promoters' limited formal education and no listed-board experience (p. 48)
Opportunities	Market CAGR 7.7% FY26-FY30 (p. 129). Organised share about 60% and rising (p. 221). Dehlon capacity 4,000 to 33,000 units (p. 137). 20 states vs 10 in FY24 (p. 158)
Threats	Subsidy withdrawal (p. 56). Punjab and Haryana 44.27% of revenue (p. 56). ₹945.02 m of ₹1,150 m working-capital limits drawn at 31-Aug-2026 (p. 42). Promoter-related dealings and the promoter-leased site (pp. 94-95, 129)

The offer and objects

- **Structure:** fresh issue of up to ₹3,000 m (of which up to ₹600 m may be raised in a pre-IPO placement and deducted) plus an offer for sale of up to 3,100,000 shares by promoter Jagatjit Singh. Mainboard under Regulation 6(2) of the SEBI ICDR Regulations, because the company does not meet Regulation 6(1)(a) and 6(1)(c) (cover, p. 503). Sole BRLM: Keynote Financial Services.
- **Objects (p. 124):**

Object	₹ million	% of gross fresh issue	Timing
Working capital	1,100.00	36.7%	FY28 700; FY29 400
Dehlon expansion capex (excl. ₹91.74 m GST)	716.64	23.9%	FY28
Repay borrowings	185.00	6.2%	FY28
Identified objects	2,001.64	66.7%	
Offer expenses and general corporate purposes	998.36	33.3%	GCP capped at 25% of gross (₹750 m)

- **Working capital object in context:** the issuer's projected working-capital need rises from ₹1,029.46 m (FY26) to ₹1,415.33 m, ₹2,112.61 m and ₹2,653.59 m (FY27-FY29). Bank borrowing is held flat at ₹1,150 m and the IPO funds ₹1,100 m of the FY29 need, i.e. 68% of the increase from FY26 (pp. 126-127). The projected revenue behind this was not found beside the holding-day assumptions (inventory 130 days, receivables 45 days).

- **Capex:** capacity at Dehlon rises 8.25 times, from 4,000 to 33,000 units, against total company production of 18,219 units in FY26. The cost rests on a detailed project report by L & C Techfin Advisory dated 23-Sep-2026 and civil-work quotations dated 25-Jul-2026 valid for one year; it is not bank-appraised (pp. 130-131, 137).
- **Price floor:** the fresh issue is amount-based, so no objects-based price floor can be computed.
- **Promoter dealings in the offer:** promoters hold 99.97% before the offer. The offered shares are 6.3% of Jagatjit Singh's 48,990,736 shares. The only primary issue in 18 months was a preferential allotment on 22-Oct-2025 to Jagatjit Singh and Dharam Singh for non-cash consideration (the business transfers), at a bonus- and split-adjusted weighted average cost of ₹35.15 (pp. 163-164).
- **Lock-in:** 20% of post-offer capital held by promoters for 18 months; the rest of promoter holding and all other pre-issue capital for six months (p. 116). Anchor allotments are discretionary; half is locked in for 30 days and half for 90 days.

Financials: positives and concerns side by side

Positive	Concern
Proforma revenue +63.1% and PAT +51.7% in FY26	The earlier years are pro forma and unaudited; audited FY24-FY25 is the pre-acquisition company with revenue of ₹488.60 m and ₹959.26 m
Cash tax 29.3% of PBT (current tax); ₹104.52 m paid	CFO ₹26.85 m = 8.6% of PAT
Interest cover 5.03x; ROCE 31.10%	Borrowings ₹1,344.07 m; current ratio 1.10x; Rs 424.14 m MSME payables (46.5% of payables), ₹115.15 m of them past due up to one year (p. 381)
Receivables are 96.8% within six months of due date (p. 371); allowance ₹15.80 m (2.5%)	Closing receivable days on FY26 revenue are 54 against the issuer's 45; closing inventory days on the KPI cost of goods sold are about 165 against the issuer's 132 (our computation from pp. 85, 158)
Working capital is in line with growth: trade NWC rose from ₹520.23 m to ₹838.52 m, ₹0.20 per incremental rupee of revenue	NWC was 20.3% of revenue; growth consumes cash

Forensic scorecard

#	Check	Status	Finding
1	Bonus and share count	PASS	22:1 bonus and 2-for-1 split applied to EPS and NAV throughout (pp. 154-156)
2	Cash flow vs profit	FAIL	FY26 CFO/PAT 8.6% (p. 88)
3	Current vs deferred tax	PASS	Current tax 29.3% of PBT; deferred a small credit (p. 87)
4	Related-party capex and flows	WATCH	FY25 sales ₹209.15 m and purchases ₹419.46 m with Saron Mechanical Works II (promoter proprietorship); ₹55.0 m advances to promoters at 31-Mar-2026; promoter-leased expansion site (pp. 94-95, 129)
5	Objects arithmetic	WATCH	33.3% of gross is offer expenses plus GCP (p. 124)

#	Check	Status	Finding
6	Revaluation reserve	PASS	None shown (p. 85)
7	Goodwill	WATCH	₹4.55 m actual vs ₹65.66 m in the FY25 proforma balance sheet; not reconciled (pp. 85, 91)
8	Concentration	WATCH	Customers: top 25.21%, top 10 50.04%. Suppliers: top 7.94%, top 10 40.53% (pp. 33, 36)
9	Contingent liabilities	PASS	₹71.70 m = 10.1% of equity (p. 93)
10	Investor presentation	N.A.	Not reviewed
R1	Auditor	WATCH	No database-level audit trail up to 31-Dec-2025 (all three years); two auditor changes in 2024 (pp. 52, 98)
R2	Directors	WATCH	Two promoters disqualified 2020-21 for a struck-off company; compounding application filed (p. 36)

Not tested: the issuer's Regulation 6(2) eligibility computation, and the quotation-by-quotation capex detail.

Merchant banker

Keynote Financial Services Limited (sole BRLM). Owner and listed status: not stated in the DRHP and not sourced in this run.

- **Year-wise summary (DRHP p. 511, as on 25-Sep-2026):** FY27 to date, 2 IPOs raising ₹5,858 m, both at a discount at day 30 (under 25%), one at a discount at day 180. FY26 and FY25: none.
- **Issues:**

Issue	Size ₹ m	Issue price ₹	Listed	Opening ₹	Open vs issue	Day 30	Day 90
Amir Chand Jagdish Kumar (Exports)	4,400	212.00	02-Apr-2026	195.00	-8.02%	-23.53%	-15.98%
CSM Technologies	1,458	113.00	02-Jul-2026	113.00	0.00%	-2.75%	n/a

- **Current prices and 3-year revenue and PAT of these two issuers:** not sourced in this run; left blank rather than estimated.
- **Read:** the sample is two issues, both trading below issue price at day 30. It is too small to infer a track record. The DRHP sends the full SEBI-circular record to the BRLM's website (www.keynoteindia.net), which this run did not compile.

Valuation and reverse DCF

Reference ₹158.47 (see Basis). Model basis: FY26 consolidated, 55,650,984 pre-offer shares, ₹3,000 m fresh issue, 80:20 DCF:relative (the DRHP states there is no directly comparable listed peer). Peers used: VST Tillers

(P/E 33.34x) and Indo Farm (27.62x); Escorts Kubota (23.35x) excluded on scale (₹115,402 m revenue, p. 156). Use of proceeds funds only the capex (₹716.64 m) in Neutral and Bull.

Scenario	Revenue growth FY27→FY31	EBITDA margin	NWC % revenue	DCF ₹/share	Relative ₹/share	Blended ₹/share	vs reference
Bear	8% → 5%	10.5%	22%	37.61	109.95	52.08	-67.1%
Neutral	18% → 8%	12.5%	20%	52.62	109.95	64.08	-59.6%
Bull	28% → 12%	13.5%	18%	66.54	109.95	75.22	-52.5%

Rationale, page-cited: FY27 growth is limited by installed capacity of 23,875 units against FY26 production of 18,219 (about +31% at constant mix, p. 267) until Dehlon expands in FY28; the margin range spans proforma FY24 (9.74%) to FY26 (13.46%) (p. 158); NWC 18.5% to 20.5% of revenue (pp. 85, 91).

- **Divergence:** DCF and relative differ by 52.1%. The relative method prices FY26 earnings (PAT ₹313.90 m); the DCF prices cash, and FY26 free cash flow (CFO ₹26.85 m less capex ₹321.8 m) was negative. That separation is the finding. The terminal value is above 75% of enterprise value in the DCF, so it is largely a terminal assumption.
- **Reverse DCF:** current free cash flow is negative, so no multiple can be stated; the whole reference price rests on a turn in cash conversion that has not yet begun. The four-lever solve was not run beyond the toolkit's output.
- **Dilution (our computation, before offer expenses and general corporate purposes):** adding ₹3,000 m to FY26 equity of ₹709.29 m gives post-issue equity of about ₹3,709 m and an FY26 ROE of about 8.5% on unchanged PAT, against the 44.26% on pre-issue net worth. Post-issue NAV at the reference is about ₹49.7 a share (about 3.2x book). Promoter average cost of ₹35.15 is 22% of the reference.
- **Grey market premium** is not used and does not move fair value.
- **Caution:** the reference is built from the same peer multiples as the relative leg, so the gap to the reference comes from the DCF leg. A price band set well below ₹158.47 would change the comparison.

What would change our view

1. **Price band:** a cap price at or below the Neutral blended value (about ₹64) would remove the gap to the cash-based value; a cap above ₹158.47 (28.1x FY26 EPS) would sit above the issuer's own peer-average P/E.
2. **Cash conversion:** H1 FY27 operating cash flow above 50% of H1 PAT, against 8.6% in FY26.
3. **Customer concentration:** RHP top-customer share below 20% of revenue, or disclosure of any link between Seth Agro Industries and the promoters.
4. **Margin:** H1 FY27 EBITDA margin at or above 13.0%, with the other-expense breakdown that explains the 148% rise.
5. **Working capital:** RHP closing inventory days at or below 130 and receivable days at or below 45 on closing balances.
6. **Audited record:** reconciliation of the proforma and actual purchase accounting (goodwill ₹65.66 m vs ₹4.55 m) and a proforma cash flow statement.
7. **Capex:** firm orders placed for the Dehlon plant, and the lease term for the promoter-owned land disclosed.

Risks

- Dealer and customer concentration without long-term agreements (p. 36).
- Subsidy dependence: 60% Central and 40% State schemes, administered state by state (p. 56).
- Leverage and working-capital dependence: ₹945.02 m of ₹1,150 m limits drawn; promoter personal guarantees on ₹1,340.89 m (pp. 40, 42).
- Execution of an 8.25x capacity expansion on a promoter-leased site, not independently appraised (pp. 129-131).
- Governance: promoters' limited experience of listed-company governance; past director disqualification (pp. 36, 48).
- Litigation: against the company, 8 tax matters and 1 statutory or regulatory matter (₹27.71 m); by the company, 2 criminal matters and 1 material civil matter (₹14.56 m); against promoters, 2 regulatory matters (₹1.00 m) (p. 54).
- Seasonal and weather exposure of farm demand.

Data gaps

Item	Severity	Source
Price band, offer expenses, general corporate purposes	High	RHP
Financials after 31-Mar-2026 (no H1 FY27)	High	RHP
Proforma cash flow FY24-FY25	High	DRHP proforma information / RHP
Proforma vs actual goodwill reconciliation	Medium	DRHP note 33 / RHP
Term of Dehlon land lease from Jagatjit Singh	Medium	Lease agreement / RHP
Projected revenue behind the working-capital object	Medium	RHP
Breakdown of other expenses (₹784.09 m, +148%) and employee cost (+6.3%)	Medium	DRHP MD&A / RHP
BRLM track record, current prices of its two issues	Medium	BSE / NSE
Seth Agro Industries: any link to promoters	Medium	RHP / issuer
Subsidy-linked share of revenue	Medium	RHP / issuer
Promoter WACA by selling shareholder; lock-in table	Low	RHP

Verification

- **Totals reproduce:** FY26 expenses sum to ₹3,730.62 m (printed 3,730.61, rounding); PBT ₹444.12 m less tax ₹130.21 m gives PAT ₹313.91 m (printed 313.90). FY25 and FY24 expense lines and the proforma P&L (PBT ₹268.98 m less tax ₹62.03 m = ₹206.95 m) also reproduce.
- **Balance sheets balance:** FY26 assets ₹3,188.36 m = equity ₹709.29 m + liabilities ₹2,479.07 m; proforma FY25 ₹1,957.55 m.

- **EBITDA reproduces the KPI table:** ₹444.12 m + finance cost ₹101.63 m + depreciation ₹46.66 m - other income ₹35.03 m = ₹557.38 m.
- **Cash flow ties:** ₹26.85 m - ₹196.81 m + ₹236.13 m = ₹66.17 m; closing cash ₹68.67 m including ₹2.15 m acquired.
- **EPS and NAV:** ₹313.90 m ÷ 55,650,984 = ₹5.64; ₹709.29 m ÷ 55,650,984 = ₹12.75. Peer P/E equals price ÷ EPS (VST 4,039.90 ÷ 121.16 = 33.34).
- **Differences inside the document:** RoNW for FY26 is 44.26% on net worth (p. 155) and 44.54% in the peer table (p. 156); the latter is PAT ÷ tangible net worth (₹313.90 m ÷ ₹704.74 m). Not an error, a different base.
- **Not re-performed:** the issuer's Regulation 6(2) eligibility computation. The summary restated statements (pp. 85-93) were read as text; the notes to the full restated annexure were not each reviewed.
- **Merchant-banker figures:** listing gains are recomputed from DRHP issue and opening prices.

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Investor grievances: fundmanager@parshwanath.in. Complaints may also be lodged with SEBI through SCORES at https://scores.sebi.gov.in.